

PHOTRONICS INC PLAB

May 30, 2026 - 3:15am EST

by

sabordesoledad

2026 2027

Price:	32.20	EPS	0	0
Shares Out. (in M):	59	P/E	0	0
Market Cap (in \$M):	1,900	P/FCF	0	0
Net Debt (in \$M):	-395	EBIT	0	0
TEV (in \$M):	1,500	TEV/EBIT	0	0

Description

PLAB missed its FY2Q26 guide, and their FY3Q guide was weak as well and the stock is now down 40% in the last two days. However the reasons for the miss and guide down are supported by customer and industry actions. Importantly, this is a delay in customer demand, not a permanent destruction so we can look for revenue and margins to rebound as the year progresses. Furthermore, with ongoing capex investments in the US and Korea expected to generate revenue in the next 18 months the company will be able to capture additional high end IC demand and drive further revenue and earnings growth.

FY2Q26 earnings missed guide and expectations

Stock missed their guidance and consensus in FY2Q26 and they got punished for it.

Photronics Inc		Periodic				
Next Announcement		08/27/2026 (Estimated)				
	Ann Date	Per	End	EPS Surp	Rev Surp	%Px Chg
11	05/28/2026	Q2 26	05/26	-20.75%	-2.96%	-36.42%
12	02/25/2026	Q1 26	02/26	14.02%	2.07%	14.69%
13	12/10/2025	Q4 25	10/25	32.45%	5.08%	45.39%
14	08/27/2025	Q3 25	08/25	32.47%	2.88%	7.63%
15	05/28/2025	Q2 25	05/25	-16.67%	-0.48%	-15.55%
16	02/26/2025	Q1 25	02/25	10.64%	1.02%	1.96%
17	12/11/2024	Q4 24	10/24	13.46%	2.12%	10.82%
18	08/29/2024	Q3 24	07/24	-8.93%	-6.23%	3.49%
Average of Abs Values				18.67%	2.86%	16.99%

They had guided to \$212-\$220M in revenue and \$0.49-\$0.55 EPS, and they missed both with \$209.9M in revenue and \$0.42 EPS. A very big miss.

FQ2 2026 Guidance



Revenue (\$M)	212 - 220
Operating Margin	22% - 24%
Diluted non-GAAP EPS	\$0.49 - \$0.55
Diluted Shares (M)	~58
Full-year Capex (\$M)	~330

Assumptions:

- Higher end demand benefits from continued node migration
- Full influence of Chinese New Year reflected in FQ2
- Fiscal 2026 capex reflects continued expansion in U.S., initial expansion in South Korea, and elevated end-of-life tool replacement



FQ2 2026 Summary



	Revenue	Gross Margin	Operating Margin	Diluted EPS	Non-GAAP Diluted EPS ¹
FQ2 2026	\$209.9M	31.3%	20.1%	\$0.54	\$0.42
FQ1 2026	\$225.1M	35.0%	24.4%	\$0.74	\$0.61
FQ2 2025	\$211.0M	36.9%	26.4%	\$0.15	\$0.40

- Revenue reflects temporary delays of semiconductor design releases due to high industry fab utilization rates, allocation of memory supply, and macroeconomic concerns. Display grew 13% y/y as customers prepare for upcoming consumer electronics launches
- Promising long-term demand driven by regionalization & reshoring, node migration, and overall semiconductor / display industry growth
- Revenue by Geographic Origin: Taiwan (32%), China IC (17%), China FPD (12%), U.S. (16%), South Korea (19%), Europe (4%)
- Gross margin of 31.3% reflects operational leverage inherent in our financial model, and also product mix
- Non-GAAP Diluted EPS of \$0.42 reflects temporary design release delays

¹See reconciliation included in this presentation
Totals may differ due to rounding

14

Their guidance for FY3Q26 was also below expectations. Revenue guide of \$207-\$215M completely missed \$219M consensus. And EPS guide of \$0.39-\$0.45 is disappointing vs. consensus of \$0.54.

FQ3 2026 Guidance



Revenue (\$M)	207 - 215
Operating Margin	18% - 20%
Diluted non-GAAP EPS	\$0.39 - \$0.45
Diluted Shares (M)	~59
Full-year Capex (\$M)	~330

Assumptions:

- Delayed design starts because of tight memory conditions, prolonged profitability maximization of existing designs, and macroeconomic factors
- Allen, TX facility to begin delivering qualification masks in FQ3
- Fiscal 2026 capex reflects latter stages of expansion in U.S., initial expansion in South Korea, and peak end-of-life tool replacement



They blamed a number of factors that delayed design releases. These included increased FAB utilization rates, memory supply constraints and geopolitical uncertainty.

exceptionally strong. Manufacturing these chips requires a significant number of high-end photomasks, which creates a compelling multi-year growth opportunity for Photronics. We are taking several strategic actions to strengthen our position in this growing market, which I will discuss later in more detail. Importantly, as a reminder, photomasks demand is more closely aligned with semiconductor design releases than to wafer starts. **In the near-term, several factors have delayed design releases, including elevated FAB utilization rates, memory supply constraints, and geopolitical uncertainty. Eric will further elaborate on these factors.**

Given these unexpected near-term headwinds, for certain chip design releases, the seasonal recovery following the Chinese New Year has not occurred to the extent anticipated. As a result, our IC business decreased 5% year-over-year to \$148 million, resulting in total fiscal Q2 revenue of \$210 million, which was essentially flat year-over-year. Despite the near-term industry headwinds, we continue to execute against our investment priorities and strengthen our position in the robust high-end market segment.

Stock has rerated and now trades at 15.8x P/E.



PLAB’s management commentary is validated by customer comments

We know some of the largest customers for PLAB. The largest of which is United Microelectronics Corp (UMC) and Taiwanese company with a foundry business.

Suppliers (11) »				Customers (14) »			
Name	Supplier's Rev %	PLAB's Cost %	3M Price Chg.	Name	PLAB's Rev %	Customer's Cost %	3M Price Chg.
KLA Corp	0.10%	4.88% CAPEX	26.05%	United Microelectronics Corp	18.01%	2.80% COGS	120.95%
SAS Tech Corp	0.35%	0.18% COGS	-34.10%	Samsung Electronics Co Ltd	13.01%	0.07% COGS	46.44%
Gudeng Precision Industrial Co	0.02%	<0.01% COGS	26.91%	Semiconductor Manufacturing In	8.17%	0.95% COGS	20.00%
L&K Engineering Co Ltd	---	---	34.60%	SK hynix Inc	7.63%	0.22% COGS	121.07%
Zenith Robotics Co Ltd	---	---	-5.92%	Intel Corp	7.43%	0.17% COGS	151.44%
Sempra	---	---	-7.42%	MediaTek Inc	4.57%	0.40% COGS	121.59%
L&K Engineering Suzhou Co Ltd	---	---	4.84%	Analog Devices Inc	2.91%	0.55% COGS	16.32%
Iberdrola SA	---	---	-2.72%	ROF Semiconductors NV	2.66%	0.32% COGS	41.56%
TXNH Energy Inc	---	---	0.32%	ROE Technology Group Co Ltd	1.34%	0.05% COGS	28.18%
Eversource Energy	---	---	-10.42%	Nanya Technology Corp	1.31%	0.55% COGS	21.54%
IDACORP Inc	---	---	-2.57%	Tower Semiconductor Ltd	0.78%	0.55% COGS	103.51%
				Nandinfo Co Ltd	0.39%	0.41% COGS	-20.05%
				DB HiTek Co Ltd	0.04%	0.05% COGS	92.37%
				Qingdao Eastsoft Communication	<0.01%	0.09% COGS	-25.39%

High utilization likely delayed new tape-outs.

While UMC overall utilization was not very high in the quarter at just 79%, they were running at 90%+ on their 28/22nm process.

Operating Results Summary

Unit: NT\$ M

	2026 1Q / Mar.	2025 4Q / Dec.	2025 1Q / Mar.
Operating Revenues	61,038	61,810	57,859
Net Income Attributable to Shareholders of the Parent	16,171	10,055	7,777
EPS (NTD)	1.29	0.81	0.62
Cash and Cash Equivalents	109,019	110,660	106,354
Total Assets	599,932	578,996	572,962
Total Liabilities	193,196	199,141	182,134
Total Equity	406,736	379,855	390,829
Foundry Segment:			
Wafer Shipments (in thousands-12" wafer eq.)	1,021	994	910
Utilization (%)	79%	78%	69%

UMC 4Q 2025 3

 UNITED FOR EXCELLENCE

UMC – GM improvement with better mix on 28/22nm. While UMC's overall UTR has been lukewarm at 60–70% in 2025, its 28/22nm process has been resilient at 90%+ thanks to its specialty technology offering in HV-AMOLED DDIC, ISP, and RF. Given TSMC's tight resources, we expect TSMC to gradually adjust its 12-inch trailing edge process capacity in the next three years and focus more on the most advanced node. We thus think UMC may see rising outflow opportunity over time. On the other hand, UMC is working closely with Intel on the 12nm process; we see the potential for their cooperation to expand further to other specialty processes and even in advanced packaging. With a stabilizing pricing trend, decelerating depreciation cost, and improving UTR back to 75–80%, we expect a better GM outlook and lift our 2026/2027 earnings projection by 17% and 36%. We maintain our Buy rating and raise our TP from NT\$57 to NT\$75 (15x our 2026 EPS estimate, up from 13x considering improved industry landscape and better GM recovery).

SMIC (the largest foundry in China) is another major customer. Their commentary corroborates PLAB, with high utilization and capacity cannot meet full demand.

In the first quarter, the company realized revenue of \$2,505 million, a sequential increase of 0.7%. By service type, wafer revenue accounted for 93.9% of total revenue with a sequential increase of 2.3% in amount. Among that, the shipment unit decreased by 0.2%, while the blended wafer price increased by 2.5%, mainly due to the steady and rising prices for certain products in the company's advantageous segmented markets. In the first quarter, the company added close to 9,000 12-inch equivalent capacity and overall utilization rates decreased by 2.6 percentage points sequentially to 93.1%.

There were two main reasons. First, affected by the AI Siphon effect. In the fourth quarter of last year, mobile phone manufacturer (Technical Difficulty) partially transmitted to the first quarter this year. Second, in the first quarter, we have new fab exited start-up phase with the capacity newly added into the denominator of the capacity utilization rate.

(Foreign Language)

In the first quarter, in terms of company's revenue by region, China, America and Eurasia accounted for 89%, 9% and 2%, respectively. The revenue amount from China increased by 2% sequentially, continuously demonstrating the industrial chain reshuffling effect by size. Wafer revenue from 12-inch and 8-inch accounted for 76% and 24%, respectively. The wafer revenue amount from 8-inch increased by 6% sequentially, mainly because the company has secured incremental orders, driven by strong demand for AI supporting chips and capacity supply squeeze in other application sectors.

Our capacity could not fully meet (Technical Difficulty) BCD, logic and embedded memory business, all achieved quarter-on-quarter growth. By application, wafer revenue from smartphone, computer and tablet, consumer electronics, connectivity and IoT, industrial and automotive accounted for 19%, 14%, 46%, 7%, and 14%, respectively. The company allocated more capacity to high-demand platforms such as BCD and memory to adapt to market changes, driving sequential revenue growth of 18% for computer and tablet, industrial and automotive, respectively. Interestingly, the revenue amount from smartphones decreased by 10% sequentially.

Memory prices delayed new consumer electronic product launches.

It is well recognized that higher memory prices are causing havoc for many consumer electronics companies.

Lowering CY26 Market Forecast to +0.7% Y/Y on Memory Scarcity

Our supply chain work indicates that smartphone builds for C4Q25 were unchanged by late December and initial C1Q26 build plans across companies we track indicate a decline of -4% Y/Y. We believe OEMs with higher exposure to the premium smartphone market are still projecting LSD/MSD% unit growth in CY26 whereas those with greater entry/mid-tier exposure could face MSD% declines or greater depending on market dynamics. We think OEMs with lower scale will not only find it harder to procure memory supply through the year, but higher component costs (memory and leading-edge wafer prices) will also impact company margins and/or lead to some demand destruction.

As a result, we are lowering our CY26 Smartphone market shipment forecast to +0.7% Y/Y vs the prior +4.0%. We also revise our CY25 forecast slightly to +2.2% Y/Y vs the prior +1.5% on somewhat better C4Q demand. We expect the premium/flagship smartphone market (45-50% of the total smartphone market) to see LSD% unit growth in CY26 after growing 3-4% in CY25. We estimate the entry/mid-tier could see a MSD% unit decline in CY26 similar to that in CY25. **Smartphones (Sankar, Apple, AAPL, Buy, \$258.21):** We believe the iPhone 17 product cycle saw healthy seasonal demand in C4Q25 with strong consumer interest in Pro/Max variants alongside older 16 models that offer good value to consumers. CAICT data also showed foreign brand unit sales returning to Y/Y growth during the first 2 months of C4Q. For the Dec '25 quarter, our build forecast finished at 79M (+46% Q/Q, -1% Y/Y) and compares to our 81M sell-in view. Our Mar '26 build estimate of 50M represents -6% Y/Y vs our 53M sell-in view at this juncture. The C1Q26 build forecast also includes 4M of the new "17e" model and 2M for the year old 16e. Our iPhone CY25/26 sell-in view is 232M/ 240M or +8%/ +4% Y/Y.

Product lineup refreshes are getting delayed.

In terms of the impact on broad-based electronics like smartphone and PCs, the impact of the severe memory shortage still seems most severe on Chinese device makers. IDC recently downgraded its outlook for 2026 for both PC and smartphone volumes. It now sees PC volumes declining by 11% and for a 13% fall in smartphone volumes, with volumes impacted both by allocation challenges and by rising prices. This is noticeable worse than what those in the smartphone supply chain at MWC appear to be planning for, which probably reflects some degree of memory stockpiling in 2025, but this still represents a potential scenario that would have impacts on many semiconductor companies, most notably the likes of Qualcomm, Mediatek, Qorvo, Skyworks, Cirrus Logic and Soitec. Unsurprisingly, smartphone OEMs in China are rapidly cutting memory specs to protect margins or choosing to exit low-end segments. Product lineup refreshes are also getting delayed.

Geopolitical impact coinciding with the end of CNY contributed to delays

PLAB reported earnings for FY1Q26 on February 25th, just before the Iran war started. And this was also before the end of the Chinese New Year (CNY), and hence they had limited visibility on how things would be post the CNY when they gave their FY2Q26 guide. And given the close proximity of the Iran war impacts and the CNY I suspect that it can be hard to disentangle those factors.

UMC for instance talked about how they had to increase prices to preserve their margins, despite the fact that overall utilization was in the low-80s. The inflationary and supply chain disruptions of the Iran conflict likely contributed to this need to increase prices. Which is something that the customers will have to digest and those expected tape-outs and new IC may be delayed to negotiate over new prices.

Q - Haas Liu {BIO 20330102 <GO>}

Okay. Got it. And second question is just regarding the pricing line. You discussed about like-for-like pricing, blended pricing outlook seems to be tracking better because of improving mix, as well as improving utilization across the board. But I think two things. One is just on the pricing outlook for full year. I remember last time you mentioned it is going to be firm throughout this year. Would you be able to provide some update on that?

And second thing is for the pricing on the like-for-like basis, would you be able to just share with us that's your strategy on pricing? I understand there's a lot of macro factors moving -- a lot of moving factors in the macro environment that you might need to pass on the cost to your customers. But, would you be able to share if there's any time in the history that your customers have been willing to, or were willing to accept a price hike when your utilization is at around low-80% levels? So, two questions here. First one is on the pricing outlook for full year. Any update on the -- versus the last time frame outlook? Second thing is just on your long-term view that's regarding the pricing environment right now versus your long-term trajectory of the business, that 80%. Is this sufficient enough for your customers to accept a price hike across the board? Thank you.

A - Chitung Liu {BIO 3252738 <GO>}

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Printed on 05-29-2026 Page 9 of 17

Bloomberg

FINAL TRANSCRIPT
United Microelectronics Corp (2303 TT Equity)

2026-04-29

Well, again, we really don't want to be perceived as opportunists to take advantage of our customers. So, the pricing adjustment, coming back to our pricing strategy, so the ASP improvements are fundamentally anchored in our value proposition, and also the technology and manufacturing service, which is supported by a structured demand rather than short-term pricing tactics. So we are seeing customer market share gains, along with ongoing structural shift in the foundry landscape, generating durable demand for UMC. We want to emphasize our differentiated technology and global footprint enable customers to strengthen their competitiveness across all segments, including AI, communication, consumer, and industrial and automotive segments.

So, like stated in our letter to customers, starting from the second half of 2026, we will implement disciplined pricing adjustment to mitigate some cost headwinds by maintaining customers' competitiveness. Meanwhile, hopefully, more product mix optimization, driven by a strong 22 nanometer demand will continue to drive ASP expansion. Even though the steady recovery in 8-inch loading may partially offset the ASP -- blended ASP list, our overall 8-inch recovery plan is progressing well with several fabs running nearly 100%.

The demand is delayed, but not canceled

PLAB noted that the delays are happening on the foundry side. The underlying demand is fundamentally there.

Q - Gowshi Sriharan

Okay. Thank you. I just wanted to get these customers that are deferring designs, are they -- were they already in the pipeline or is this more about new designs that are starting to slow-down and do those recovery times differ?

A - Frank Lee {BIO 18699941 <GO>}

Yes, actually they are -- whenever customer make a new design, they table the data to the foundry fab, then the foundry fab gives the order to the mass house they select. This time the new design slowdown actually happened at the end of the foundry customer, namely the design house. So the design house actually has a slower new table -- new design release. **So it's not in the pipeline. It's at the very beginning of the new design release.**

UMC's earnings call confirms that the tape-outs are still happening.

FINAL TRANSCRIPT

2026-04-29

United Microelectronics Corp (2303 TT Equity)

And the above is a summary of UMC's results for first quarter of 2026. Next, I would like to go to share our key messages. So in the first quarter, our wafer shipment increased 2.7% sequentially on a relatively strong growth in the consumer segment, lifting overall utilization rate to 79% which is a continual improvement. Despite decline in blended ASP during the quarter which I explained earlier, this is partially reflected higher 8-inch wafer shipment. And gross margin held firm at 29.2%. And demand for our 22 nanometer logic and specialty processors [ph] continue to gain momentum, with 22 nanometer revenue now reaching another record high and accounting for about 14% of total first quarter revenue.

At the end of this year, over 50 customers will have complete tape-out on our 22 nanometer platform for a very diverse range of applications, including display driver ICs, network chips and microcontrollers. We continue to invest in the next-generation technology beyond 22 nanometer. **Our 12 nanometer collaboration with our partner will provide customers with technology continuity, as well as US-based manufacturing option.**

PLAB is actually seeing some of those tape outs at the start of FY3Q26. But they are still trying to be "conservative" with their guide.

Q - Maxwell Michaelis

End of February, okay. And then I guess my second question and follow-up to that would be when you're talking to your customers, I mean, have they given you any sort of rough timeline of when they expect to bring in these new designs, or is that they still have no idea either?

A - Frank Lee {BIO 18699941 <GO>}

Our customers actually are still optimistic about the mid-term outlook. However, in the near-terms, the visibility is remained kind of limit. So we see a lot of delay in the tap-out in Q2. However, at the beginning of Q3, we did see the some recovery of those delay. A lot of tap out have happened since the beginning of May. However, going forward, we remain very cautious. But at this moment, customers are still optimistic about the midterm outlook.

But since they only have visibility into the backlog of 1-3 weeks, it is very difficult to give accurate quarterly guidance.

With respect to internal reinvestment, we will continue to emphasize projects that support future revenue growth and enhance long-term shareholder value. Before providing guidance, I'd like to remind you that demand for our products is inherently variable. Visibility remains limited with a typical backlog of only one to three **weeks**. Additionally, high-end masks assets carry significantly higher ASPs, meaning even a small number of orders can materially impact revenue and earnings. Demand is also influenced by IC and display design activity, and to a lesser extent by wafer and panel capacity dynamics.

Given current market conditions and the influence of elevated AI demand on fab utilization and, therefore, design starts, we expect fiscal Q3 revenue to be in the range of \$207 million to \$215 million. Based on those revenue expectations in our operating model, we estimate fiscal Q3 operating margin between 18% and 20% and non-GAAP diluted EPS between \$0.39 and \$0.45 per share.

Expansion in Korea and US will fuel earnings growth

FQ3 2026 Guidance



Revenue (\$M)	207 – 215
Operating Margin	18% - 20%
Diluted non-GAAP EPS	\$0.39 - \$0.45
Diluted Shares (M)	~59
Full-year Capex (\$M)	~330

Assumptions:

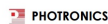
- Delayed design starts because of tight memory conditions, prolonged profitability maximization of existing designs, and macroeconomic factors
- Allen, TX facility to begin delivering qualification masks in FQ3
- Fiscal 2026 capex reflects latter stages of expansion in U.S., initial expansion in South Korea, and peak end-of-life tool replacement



As we think of the \$330M in capex that they are spending this year, this is a substantial increase in their revenue and profitability. They have not directly said how much additional revenue they could generate out of their expansions. But historically they have been able to generate \$1 of revenue for each \$1 of net PPE. And since these expansions are allowing them to have higher end IC business with higher ASPs this can be quite substantial.

	A	I	J	K	L
1	Photronics Inc- Company Financial (Multiple Periods)				
2	PLAB US Equity	Periodicity: A	Currency: USD	Estimate Source: BST	Actual Source: Bloomberg
3	In Millions of USD	2022 A (Rep)	2023 A (Rep)	2024 A (Rep)	2025 A (Rep)
4	12 Months Ending	10/31/2022	10/31/2023	10/31/2024	10/31/2025
5	Highlights				
6	Adjusted Diluted EPS	1.94	2.04	2.05	2.01
7	YOY Growth	118.12	5.08	0.49	-1.95
8	Revenue	824.55	892.08	866.95	849.29
9	YOY Growth	24.22	8.19	-2.82	-2.04
10					
106	Non-Current Assets				
107	Property, Plant & Equipment, Net	647.21	715.43	750.27	860.41
159					
160					
161					
162	Rev to PPE ratio	1.27	1.25	1.16	0.99

Global Footprint Aligns with Regionalization Trends



U.S. and Asia investments align with industry regionalization trends, and diversify geographic footprint



Historically this business has operated with ~25% operating margins. As we look ahead to the expansion in the US and Korea coming online later this FY2026 and 2027. We can start to imagine that the business could generate \$1B in revenue at 25% operating margins, 20% tax rate and accounting for the non-controlling interest we could be looking at \$2.46 EPS. At a 18x multiple that would be \$44 PT and at 20x that would be \$49 PT.

In Millions of USD		2020 Y	2021 Y	2022 Y	2023 Y	2024 Y	2025 Y
12 Months Ending		10/31/2020	10/31/2021	10/31/2022	10/31/2023	10/31/2024	10/31/2025
Operating Income		63.9	94.6	211.9	253.1	221.5	208.2
YOY Growth		22.65%	47.91%	124.07%	19.44%	-12.46%	-6.03%
Operating Margin (%)		10.50	14.20	25.70	28.40	25.50	24.50
YOY Growth			35.24%	80.99%	10.51%	-10.21%	-3.92%
EBITDA			185.0	292.2	333.9	386.6	285.8
YOY Growth				57.99%	14.27%	15.80%	-26.09%
Non-Operating Income		2.3	-7.5	-27.2	-16.9	-25.9	-13.6
YOY Growth		63.87%	-420.24%	-264.56%	37.81%	-53.27%	47.40%
Foreign Currency Transactions			-8.0	-27.3	-2.5	-2.2	8.3
YOY Growth				-243.00%	90.98%	12.08%	483.30%
Interest Expense		2.4	1.7	1.9	0.4	0.3	0.1
YOY Growth			-28.81%	10.21%	-76.68%	-22.86%	-83.53%
Pre-Tax Income		61.6	102.0	239.0	269.9	256.3	221.8
YOY Growth		21.50%	65.59%	134.33%	12.93%	-5.05%	-13.47%
Income Tax Expense		21.3	23.2	59.8	70.3	63.6	31.6
YOY Growth			9.09%	157.83%	17.60%	-9.59%	-50.37%
Non-Controlling Interest		6.5	23.4	60.5	74.1	53.2	53.8
YOY Growth			258.22%	158.72%	22.65%	-28.31%	1.26%
Net Income		33.8	55.4	118.8	125.5	130.7	136.4
YOY Growth		13.52%	63.95%	114.23%	5.64%	4.15%	4.37%
Diluted Weighted Avg. Shares		65.5	62.0	61.2	61.8	62.4	59.9
YOY Growth		-5.33%	-5.30%	-1.31%	0.93%	1.03%	-3.96%
Diluted EPS		0.52	0.89	1.94	2.03	2.09	2.28
YOY Growth		18.18%	71.15%	117.98%	4.64%	2.96%	9.09%
Adjusted Results							
Net Income		33.8	55.4	118.8	126.0	127.6	120.5
YOY Growth		13.52%	63.95%	114.23%	6.08%	1.25%	-5.57%
Net Margin (%)		5.55	8.35	14.41	14.07	15.07	16.06
YOY Growth		5.52%	50.60%	72.45%	-2.36%	7.17%	6.54%
Diluted EPS		0.52	0.89	1.94	2.04	2.05	2.01
YOY Growth		18.18%	71.15%	118.12%	5.08%	0.49%	-1.95%

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I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

Delayed design starts are overcome

Allen, TX expansion

Korea expansion

Messages

Subject Question on taping out / fab utilisation
Entry 05/30/2026 11:24 AM
Member virtualodin

I imagine that tape-outs (ie test runs) are a tiny % of total fab volume on any given day? (ChatGPT thinks tape-out volumes are 1-5% of UMC volumes, fwiw)

In which case, wouldn't 88% utilisation at, for example, UMC still leave ample capacity for tape-out chips?

Subject Short View & Qs
Entry 05/30/2026 01:02 PM
Member penguin253

I was actually in the midst of writing PLAB up here as a short. So, I have a few questions/comments and would love to discuss more. This is my POV:

1) Margins: So, looking post-2022, they have done roughly 35% GM; this is largely due to pricing that PLAB was able to pass on during the supply constraints of 2022. This issue is that this is rolling off, and I estimate that long-term PLAB GMs revert back to the 30% as they are a price taker in this industry. This would cause EBIT margins to compress back to 20-15%, which heavily dampens EPS. In 2022, they were even getting paid fees from customers to hold orders up front, which accounted for 200-250bps of additional GM. So future margin compression due to pricing power declines is very likely in my view. So curious as to why you believe EBIT can be sustained at 25%+?

Secondly, Chinese peers are catching up to PLAB in terms of capabilities. The most advanced masks that PLAB makes are 14/28nm with a tiny portion of the biz being 12nm (this is roughly 10+ years behind leading edge EUV masks made by Hoya & other comps). Shenzhen Qingyi can now do 28nm on the IC side, and AMOLED 8.6 on the FPD side. Newway in Xiamen can now do 40nm and is working on 28nm with AMOLED 8.6 FPD machines arriving in 2026. These are just examples of the Chinese homegrown WFE companies catching up. PLAB had pricing and tech advantage in China up until this point, and I estimate that margin compression will come as PLAB's production advantages wear away. Also, SMIC makes up roughly 86% by my estimate of PLAB's Chinese IC revenue. I think the loss of this biz is a significant risk, as SMIC will revert to the cheaper homegrown players once they reach technology parity.

2) The thing about photomasks is that roughly 80-85% of the spend on COGS per mask is fixed (but scales with complexity), so a large cost base really compresses margins when ASPs come down. Their D&A (All in COGS) is increasing heavily from this, and while they will see some revenue, it's important to know that the Allen, Texas expansion is on, I believe, 65/45nm or something very mainstream; these carry a roughly 25%-30% GM, so dilutive to margins. Secondly, while Korea is more promising, this business again is not leading edge and is with a customer who has a lot of bargaining power with PLAB and their own captive services.

3) EUV (High End) Mask Supply/Demand Constraints: PLAB has claims via their website, "After years of waiting, extreme ultraviolet (EUV) capability is finally in production, and with it the ability to take technology nodes to 5nm feature sizes and beyond. Our R&D team has played an important role in this next-generation lithography development, including a joint R&D agreement with IBM Research to develop manufacturing-grade EUV mask processes for leading-edge logic applications for 7nm and 5nm nodes, and beyond. As a result, our technology portfolio is poised to meet aggressive ramp schedules when EUV photomasks become mainstream." - I read this on their website back in 2023, when I was looking at them for a long, but used Wayback to see this has been up since 2021. So, since 2021, apparently, they have had the ability to make EUV nodes, but the most advanced they currently do is a "tiny amount" at 12nm. This makes no sense; either they have the tech ability, or they have no customer demand. Now they claim that this multi-beam in Boise can do this, but I question the customer demand. If demand doesn't pick up for these very high-cost tools for <12 nm, then they are stuck with a higher cost based on very little incremental revenue, compressing GMs. Captives as nodes shrink are more likely to make masks in-house as the cost per mask goes up, and they want more direct control over designs. TSMC, to my knowledge, does little to no outsourcing to merchants at leading edge, even with merchants who have EUV mask capabilities.

4) Also, memory costs are hitting the FPD side more, which is a very cyclical business and only ~28% of total, so the incremental lift once these issues get resolved are probably not a super material benefit to rev. Chinese exposure is 30%, so with increasing Chinese comp I think there is some revenue risk here that would offset any gains in Korea.

I have LT ~20.5% EBIT on ~900m rev for 2028, getting me ~\$1.90 in EPS at 15x; this gets me to \$28.5 plus their cash position of ~\$5, which is \$33.5 or roughly where the stock is at right now. Would love any pushback or comments, thanks!

Subject Re: Short View & Qs
Entry 05/30/2026 09:25 PM
Member RockMirror

By no means, am I an expert on the company or the space but given the recent weakness, have looked into it briefly but on your first point, I see GMs sustainably around the ~35% mark from 2022-25. If your research indicates there was some extra bump in 2022, did it go away in subsequent years? what changes in the pricing power dynamic going forward vs the last four years? Four years is a good enough time period for me to think perhaps something changed for the better, especially since 2024 & 2025 were negative revenue growth years. Do you think the Chinese peers catching up has reached some sort of an inflection point now that it will have a worse effect on PLAB than in the recent past?

Subject Re: Re: Short View & Qs
Entry 05/31/2026 12:02 AM
Member starfox02

I echo RockMirror's comment. 2022 was a long time ago and in fact, given PLAB had limited exposure to GPUs, they have not (until recently) really been playing in "hot" areas. At least one industry expert who I spoke to, who ran a number of mask shops, did M&A, etc believes that everything management is saying is accurate and in fact, mask capacity is getting tighter rather than the opposite (outside of China). Demand exploding at the leading edge and captives don't really want to build out more capacity for older nodes. As I'm sure you're aware, markets tend to be duopolistic ex China on the merchant side. Tekscend is the only other game in town in the US and while they are also adding capacity, I don't think it's an enormous amount or overbuilding in context of all of the fab investments in the US. Meanwhile, China competitors likely not able to compete outside of China for a variety of reasons including geopolitical. Moreover, back to the pricing point, given the short-term nature of this business (with weeks of visibility), it's not as if they are operating under long-term take or pay contracts that were signed during covid. I'm curious if you have spoken to anyone in the industry who has validated the bear case that was consensus up until a few quarters ago? Industry expert also strongly contradicted your view on the multi-beam mask writer in Boise, thinks it's huge advantage for more advanced masks and it's the only merchant one in the US at the moment? Would appreciate any further dialogue on your opposing views here, hopefully you can save me some money if I'm wrong. Thank you!

Subject Re: Re: Short View & Qs
Entry 05/31/2026 03:37 PM
Member penguin253

This comment can provide some clarification on my view on margins. Sorry, I could have been a little clearer.

Some context: PLAB has not held mid 30% GMs since the 1990s. In 2022/2023, mask supply was extremely constrained due to a multitude of reasons, which allowed PLAB, a price taker, to raise prices by DD%. They were also getting paid an extra bump on top of this in expedited fees (these fully rolled off by FY 2024).

So, in terms of the extra bump, basically, companies paid them expedite fees, and they were roughly 200bps total. There was a period in 2023 where GMs were 38.5%, with around ~200bps of that being basically from one-time fees from customers to get mask capacity. As time has progressed, they have lost that, so this is roughly 36.5% GMs, and GMs are currently at 35%, so they have already lost 150bps in pricing alone, excluding the expedited fees.

But the question is why/how they go from 35% → 30% over these next few years? This is my view, and it comes from three main factors:

New capex will drive accelerating D&A, which flows to COGS. Their capex will start to generate revenue in 1-2 years (implying no constraints on demand), but the D&A and costs are realized starting now. LT, the new multi-beam, I believe, will probably go underutilized at the leading edge, meaning it will probably be writing a lot of 14/28nm masks, which is not the best use of capital.

Their tools, including multi-beam but also parts for their older machines, cost more, causing capex to step up, and the thing with photomask manufacturing is that 85% of COGS are fixed, so when pricing has a huge step up on ~flat COGS, the incremental GM benefit is huge, and this is why they were able to have ~1000Bps in uplift in a single year. The issue is when revenue is flat, like it is now, and your spend increases drastically, it has the opposite effect, and GMs are very decremental.

At the same time as PLAB started to raise prices 2022/2023, they started rolling out LTAs (long-term agreements). There is not much info on these, but basically, how I can tell these contracts work is that a customer is guaranteed X masks per year at X price, so even though their backlogs are 1-3 weeks as stated, they are locked into whatever previously decided pricing and allocation. The duration and mix of these contracts as a percentage of total aren't disclosed, but I estimate ~1-3 years, and there's probably a high probability they were signed with UMC, SMIC, and Samsung and probably the top 5 customers, so >50% of total revenue is on these LTAs. These have started/should start to roll over onto lower ASPs now, which should help constrain margins.

PLAB has had a tech edge on Chinese peers up until 2026, and I believe that once Chinese comps ramp 28nm this and next year, there will be a heavy hit on their Chinese pricing, which is 28% of their total business. They have historically held a lead on technology in China, but as that business is commoditized, GMs can probably compress to the mid-20% range, from ~30%-ish now.

Happy to answer other questions and would appreciate any clarification if I got anything wrong here.

Subject Re: Re: Re: Short View & Qs
Entry 05/31/2026 07:20 PM
Member Bill

What I don't believe your factoring into your thinking is the tremendous growth we are seeing across the board in semi-conductors. Your assumption seems to be that photomask growth is basically flattish going forward. However, photomask growth is highly correlated to semiconductor growth which is expected to be 10%ish for at least many years to come. Just because PLAB's growth stalled for one or two quarters (because semiconductor demand was so strong fewer new products were released) does not mean this slow level of growth will continue in perpetuity. In fact, the slower growth this quarter will likely lead to accelerated growth within a few quarters as the foundries play catch-up on rolling out new chips. This phenomenon could easily lead to a supply shortage of photomasks, giving PLAB more pricing power. Please LMK why you think I'm wrong?

Subject Re: Re: Re: Re: Short View & Qs

Entry 05/31/2026 10:21 PM
Member penguin253

What I think you are missing is the way photomask demand actually works. Your assumption seems to be that because semiconductors as a whole are growing ~10% for years to come, PLAB's photomask growth should track it. But photomask demand isn't directly correlated to semiconductor volumes across the board; it's driven far more by design activity than by units. And design activity has been very strong these past few years, so why has PLAB not seen this benefit?

You can see this right now: fabs and memory players are running at near 100% utilization, yet that isn't flowing through to mask orders. PLAB's revenue has been basically flat to declining for the last 2-3 years, not just one or two quarters, and that's over the exact period where every major fab and memory player has been maxed out on both volume and pricing. Also, every other merchant mask maker has revenues up ~10-30% per annum over this same period. So if design activity was actually declining, then why would their peers have increasing revenues?

My view isn't that the total photomask market is flat. It's that the parts of it PLAB is actually exposed to (China, mainstream and non-EUV masks) are net flattish, while most of the semiconductor growth you're pointing to is at the leading edge, and all of that demand is going to the captives. Extrapolating overall semi growth onto a specific supply-chain component whose share has been structurally waning since the 1990s, with ASPs that compress heavily over time, and then onto the worst player isn't a viable assumption in my view. Yes, merchants have clawed back share recently, but I see that as cyclical, not structural, and PLAB is the worst-positioned merchant of the bunch.

Why do you think PLAB can suddenly match industry growth rates or re-accelerate when it failed to capture any growth in the last 2.5 years?

Would appreciate any thoughts on this.

Subject Re: Re: Re: Re: Re: Short View & Qs
Entry 06/01/2026 11:46 AM
Member Bill

You make some good points. My experience in semis and power electronics is that a rising tide tends to lift all ships eventually. There may be timing mismatches in different components of the industry for a variety of reasons. The key questions are where PLAB's products fit into the industry, and what's the trend and net impact of industry outsourcing vs insourcing on Photomask production? I don't have enough visibility into the industry to answer these questions with any degree of accuracy. However, PLAB's manufacturing expansion indicates that they believe the trends and industry outlook are positive.

Subject Re: Question on taping out / fab utilisation
Entry 06/01/2026 11:53 PM
Member sabordesoleidad

Hi odin,

Thanks for the question. I think the utilization for some of the nm processes were at 90%+. But yes, you are right that there is some spare wafer capacity at the foundry to do the tape-out. But there can also be limitations in the engineering and tooling setup which are more likely at these higher utilizations.

Subject Re: Short View & Qs
Entry 06/02/2026 12:17 AM
Member JSJS2020

Hi Penguin253

You make a lot of good points, wanted to share a few thoughts and ask a few questions:

- 1) I was aware of the risk of homegrown Chinese merchant mask makers, although I felt it was a long-term risk. I was wondering, where did you see "Qingyi can now do 28nm"? The most recent info I found was "they can mass produce 180nm masks... make small batch of 150nm... and are advancing R&D of 130-40nm. They only initiated a development plan for 28nm process mask." This was in a Chinese publication (Securities Daily News, May 14th). Hopefully, by the time their China revenue meaningfully decline, it will be more than offset by the ramp up in US and Korea revenue. I don't know this for a fact, and I acknowledge this is a real long-term risk, but just wondering where you saw that Qingyi already has 28nm mask?
- 2) Good point on the margin compression. My understanding was, like you pointed out, operating leverage cuts both ways. The decreased sales volume leads to decreased gross margin given the fixed cost. However, I don't think ASP is decreasing. I imagine APS is either flattish or probably slightly increased due to node migration. (The percentage of high end IC is flat to slightly increased compared to couple of years ago). The more advanced masks generate more revenue per mask, although the slightly increased ASP is still offset by the decreased in sales volume, so the revenue may look flattish, while gross margin still got compressed. I don't know this for a fact, feel free to point out any flaws in my reasoning. I always knew they were vulnerable to the fluctuations of the mature nodes design cycle (i.e. consumer electronics, etc.), if customers postpone new design rollout due to memory shortages, tariff, etc., we don't know about it until the earnings come out. However, I always felt that's part of the cyclical business (in the design cycles).
- 3) I haven't considered the possibility that their EUV masks from their multi-beam mask writer (Idaho facility) would not have enough customers. My understanding was this is the only merchant multi-beam mask writer for EUV mask in the US. I can't imagine they would put one in Idaho if there was no demand. They had mentioned Intel is a customer, which makes sense, as I imagine Intel probably is allocating all resources to their 18A and 14A node processes, and prefers to outsource mask making for the more mature nodes to merchants. However, I see your point, will they get a decent return on their Capex for the multi-beam writer in the near term? I'm also not sure. Few earning calls ago, they mentioned they plan to sell 7nm masks in the Asian market first (assuming Korea or Taiwan?), and they reiterated they will keep advancing to even smaller nodes. That will take time, but they are the most advanced merchant mask supplier on US soil (only merchant with EUV mask making capability) and part of the onshoring supply chain effort. In the long term, I'd like to think it pays off as captives outsource more mature EUV mask making. In the near term, it remains to be seen.
- 4) You mentioned its peers had 10-30% increase in revenue per annum over the same period, just curious which ones you were referring to? My understanding was Toppan and Dai Nippon are the most comparable peers. Until recently, Toppan's photomask segment was buried in its electronics segment, so it was hard to know their photomask revenue growth. I haven't looked at the spun-out Tekscend photomask, so don't if there is info on its recent revenue growth. Dai Nippon is in a JV with PLAB for the Taiwan and China markets. I believe Dai Nippon also has its photomask segment buried in its electronics segment, so I recall not knowing exactly how much revenue growth was just for its photomasks. Lastly, I'm not sure if Hoya is a fair comparison, I thought they supplied blank masks. I don't know these things for a fact, you might know more, just curious which ones you were referring to when you mentioned they have 10-30% revenue growth over the same period.

My two cents on PLAB: I've followed it for years, I like the cyclicity. It's not at the leading edge and a big portion of its business is in mature node masks, but that still includes many components in cars, industrial robots, mobile devices, etc., and they still benefit from node migration (previously 28nm, today pushing 7nm, hopefully 5 or 3nm in the future, with higher ASP as it advances) and captives outsourcing mask making (as they focus on the next leading nodes). Over time, it has been a compounder (~9-10% CAGR in equity value) with a fortress balance sheet. I feel the lumpiness of its revenue/earnings growth (thus the volatility of its stock price) present opportunities at times (like when it was below book value while still cashflow positive couple of years ago, and management bought back shares below book). Penguin253's 900M rev by 2028 is close to my bear scenario. However, I'd like to think the near-term increase in Capex (200-300M) has at least a 1:1 sales to capital ratio, which puts rev above 1B by maybe 2028. I'd like to think EBIT expands with increase in rev due to the operating leverage, maybe at least 30% EBIT margin. I'm being optimistic, but I acknowledge there are uncertainties.

Any feedback is appreciated.

Subject	Re: Re: Short View & Qs
Entry	06/02/2026 11:13 AM
Member	starfox02

One additional point re: China commoditization, while China is nearly 30% of revenue (as you state), China IC is slightly more than half of total China and given that PLAB has 50% ownership, economically speaking China IC is not 1:1 with revenue (ex. PDMCX runs low double digits as % of total company net income, which they disclose, but only half is attributable to PLAB shareholders). China FPD is outside of the JV and therefore more 1:1. This makes the China exposure lower than it seems based on revenue; meanwhile, the investments in Korea and the US are ex-JV so their economic contribution will be more material to EPS than their revenue contribution because they own all of it. The Allen investments have essentially already been made and will begin contributing to revenue in the next few quarters (I understand that we disagree on that), so from a cash earnings perspective, things should materially improve in 2027 vs 2026. The same goes for 2028 vs 2027 with the Korea investments, on which money is (again) already being spent.

Subject	penguin
Entry	06/04/2026 01:02 PM
Member	starfox02

Penguin - I circled back with a knowledgeable industry exec and among other things, asked about China, the LTAs/pricing, etc. He believed that A) China competition is more or less the same as it has been over the last few years and while there will be continued competitive pressure, nothing that has dramatically changed, B) supply is tight and the merchant market should actually see favorable/strong pricing over the next few years, and C) he completely disagreed with / disputed your view on how the LTAs work and whether that is a risk factor. He did agree (as anyone who follows the industry knows) that Tekscend is likely to benefit more at the higher end but there are plenty of layers for PLAB to take (even the advanced chips have optical layers); he also noted that Photronics is very well positioned for co-packaged optics / silicon photonics - won't be a huge portion of their biz but margin accretive (and the multi-beam writer in Boise is specifically well positioned for this because it can do curvilinear vs grid/step, and capacity for this capability is even tighter than the market in general.) He was also quite optimistic about their Korea investment. So at least from his perspective, there seem to be more tailwinds than headwinds overall over the next few years.

I would be curious to hear if you have spoken to anyone who disagrees, and if so, what their specific arguments are. I am setting up more calls and believe that if they continue to validate that this is just typical temporary photomask lumpiness (which was his belief), then PLAB is quite compelling here and probably one of the cheapest names / lowest risk exposure in semis (let me know if you find one better!) albeit obviously being a lower quality business than, say, a LRCX or ASML since they don't have proprietary technology and the duopoly/oligopoly nature of merchant side is obviously tempered by the captive capacity. Thank you...

Subject	Re: penguin
Entry	06/05/2026 10:34 PM
Member	penguin253

Hi Starfox & JSJS, Thanks for all the comments and information, and sorry for the late reply. This thread has taken up more time than I anticipated - ha.

In China, I don't see how domestic competitors reaching PLAB's IC technology now/over the next few years isn't a heightened risk, as this hasn't been the case in the past. I know they have been competing with Tekscend and DNP (FPD) in China. Have the competing foreign players been very hostile on pricing there so far?

Also, is your source referring to the IC or FPD side? I know the FPD for mainstream in China is very commoditized and is a rough segment for PLAB. I haven't talked to anyone explicitly in China in relation to photomasks, but have in the past on broader WFE, so it's not super applicable for this, so you may know more than me/would appreciate clarity here.

I know SMIC has its own mask shop, but I'm not sure about their output; all the data with them is rumors from my experience.

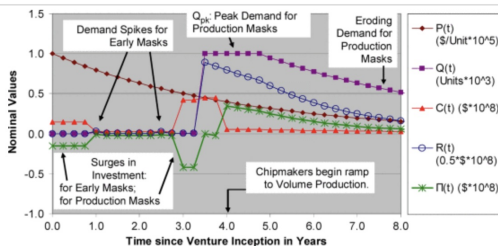
On LTAs, I haven't talked to anyone explicitly on these agreements, so I completely understand if I got some stuff wrong. I would love to hear the whole story. I am very sure these agreements guarantee allocation, but pricing is very opaque/there is no info readily available on this, so I would love to get that clarified. Again, this wasn't a main part of my thesis, just a small idea I had on margins. Main thesis was points 2&3 below:

I did just get access to some calls with prior PLAB management and the former CEO, who all largely agreed with my take on the whole Boise/EUV situation. They see EUV demand as very constrained, and nobody can pin down a major U.S. customer with whom they could be working. Leading-edge Fabs are all captive or have a chosen merchant (not PLAB). Other industry people have also confirmed that PLAB and other merchants have no material EUV exposure (mostly marketing), and they expect no material EUV exposure for PLAB for the next few years, and the max the captives will do in EUV outsourcing will be on the optical layers, and PLAB will only get a fraction of those allocations. DNP does have some biz with Rapidus, and Tekscend is better on tech, so PLAB is the clear laggard there. Now they all agree that PLAB needs a multi-beam to stay competitive technology-wise, which I agree with, but without that very high-end revenue, you will see a drag on margins. On the advanced packaging opportunity/co packaged optics, it's immaterial from what I have seen, and would take away capacity from high end masks. Could work out if the multi beam is underutilized on high end masks. Don't know too much here to be honest.

I have also done some math below:

In my blue-sky scenario, let's say captives start to outsource all optical layers in 3nm and below masks (~100+ layers). ~50 are EUV layers. You would have ~50ish optical layers. This is roughly/fewer layers than are in a 45/28nm mask set, which go for \$500k-\$1m. Experts think it's an ASP of \$20k for a high-end optical, which is \$1m for the set of optical layers per EUV mask. So it's not a major uplift. Would love any feedback on this ^, roughly corroborated with some industry calls. Yeah, this would add some business and make the multi-beam not lose money, but this is a few years out and hopeful. Back to my thesis, without actual EUV mask demand now, the multi beam is a hit on margins.

I am not a big fan of holding these types of businesses long-term, as they have the risk of needing to outpace declining ASPs over time. Yes, now with more constrained supply, merchants can raise prices, but as seen with PLAB right now and over the past 2 years, broad IC growth and development don't exactly translate to increased volumes, so while you have had the pricing, you really need to see this be sustained with big moves in volumes. I have heard the captive outsourcing argument for many years now, but nothing material has really come or been shown. Yes, nodes now are also longer lasting, but a 65nm mask in 2005 cost \$2m and now costs <\$500k, so PLAB NEEDs to be supplying/moving into these higher ASP masks and not just staying in opticals to offset their more mainstream masks, which lose value over time.



<https://ieeexplore.ieee.org/document/4012107> (interesting paper, but old)

Back to my first comment, I was short on PLAB going into the print, but honestly didn't expect GMs to compress this soon, figured it would become more apparent through the year, so I wanted to share the bear case to discuss and help the people on VIC understand the setup. I am out of my short now.

From my view, the run-up this year, near 100%, was unwarranted, and a lot of the people I heard bullish on it did not understand the high cyclical, which is partly why the business is and was so cheap. It's not worth \$50+ in my view, but right now it's at my base/bearish case, so the R/R now is skewed to the upside (risk now is whether revenue growth materializes). It could easily revert next quarter with better orders, but with PLAB, betting on Qs is very close to gambling. I caution the demand thesis on some of the points above. PLAB seems like a secular winner when times are good and a complete throwaway when times are bad. Right now, post Q2, it's a very ripe banana. Most semi-names I know with actual AI exposure have already run up, so you are left with the lower-quality businesses. I am more bearish on this space right now, sadly. Don't know much about Hoya's Valuation/Intrinsic value, and I know it's a mingled biz, but I would like it as a bet on captives and their EUV blank biz (I'm a big fan of this segment - directly tied to leading edge node designs).

Happy to expand on any of my thoughts above, and please correct me if I have said anything wrong.

Subject
Entry
Member

Re: Re: penguin
06/06/2026 12:15 AM
JSJS2020

Hi Penguin, that was a lot of good insights and good details. Many Thanks.